

Heidi: [00:00:00] But first, let's go ahead and dive in. We're very privileged to be joined by two experts who are going to share their differing perspectives on Connecticut's fiscal guardrails and their state investment controls. First, our first speaker is Chris Davis, and he is the senior vice president of public policy at CBIA, where he leads their advocacy team.

And in this capacity, he and his team work to really strengthen Connecticut's economic competitiveness and growth while providing opportunities for all residents. Chris is joined by Alex Knopp, and Alex served two terms as mayor of Norwalk. But before this, he served for 15 years as a state representative in the Connecticut General Assembly.

And as an attorney, Alex has expertise in state and local governance and in [00:01:00] taxation and budgeting. He's also a member of the Property Tax Working Group. So those are our speakers here. And with that, I will stop sharing and welcome Chris and Alex.

Chris Davis: Good morning. Thank you very much, and thank you all for having me here today.

I am very excited to be here. I am Chris Davis. As Heidi mentioned, I'm the senior vice president of public policy here for the Connecticut Business and Industry Association. But importantly for this conversation here today, I too was a former state representative for 10 years, representing the towns of East Windsor and Ellington—towns north of Hartford for those 10 years—of which I was the ranking member of the Finance, Revenue, and Bonding Committee during what some had described as a perpetual fiscal crisis for the state of Connecticut.

So during that [00:02:00] time, the state faced a billion dollar deficit year after year, revenue shortfalls, and spending overruns, which led to what ultimately became the fiscal controls that were put into place following the 2017 bipartisan budget.

I bring a lot of experience here, and in fact, I was one of the co-authors or architects of the fiscal guardrails that have been put into place in that bipartisan budget. Alex, did you want to say a few words first? And then I can dive into what exactly those fiscal controls are.

Alex Knopp: Sure. Well, good morning, Chris, and good morning, members of the assembly. Thank you for inviting me to speak with you this morning. I was waiting for that dinner invitation, but I guess the governance committee [00:03:00] didn't want to extend it. I've been working on, and I have to say honestly fighting, against the Connecticut property tax system for the last 30 years because I think it's regressive and unfair—it hurts the state of Connecticut very badly.

I want to say with some humility for me and Chris, that this may be the most important presentation you will be hearing during the assembly, because none of the major solutions that you may be thinking about, and none of the problems that you will be addressing, like education spending, special education, payment in lieu of taxes, or municipal budgets, can be addressed as long as the current fiscal guardrails are in place.

In fact, it's those guardrails, with all due respect to my friend Chris who claims [00:04:00] authorship for them, that are the cause of many of these problems. We will discuss what these guardrails are. They essentially put the Connecticut state budget on autopilot for five years at a time; no legislator who was elected in one year can have any impact by majority vote because the controls require a super majority and a special role for the governor before changes affected by the guardrails can occur.

My last comment here before Chris describes them: I have written a white paper on why I think these guardrails are unconstitutional under the state constitution because the basic rule of democracy is that no legislature elected in one year can bind a legislature elected in a successive year.

Otherwise, elections wouldn't matter. [00:05:00] But the guardrails attempt to bind legislatures elected after they go into effect. That to me is unconstitutional. I'm not going to dwell on it today—let's pretend the guardrails are in effect because many people believe they are—but I just want you to know that's my fundamental concern.

This is an undemocratic system. But as long as it's in place at the moment, let's figure out how to deal with it. Thank you.

Chris Davis: The advisory committee [the Stakeholders and Experts Committee] that helps guide who is on these panels suggested that Alex and I do this in a conversational way.

Neither of us have a presentation or slides to show you today, as we're hoping to have a conversation about what these guardrails are, potential changes to them that [00:06:00] are possible, and what the impacts of them have been over the last almost 10 years.

To talk about the fiscal guardrails, it's important to understand what they are. The first and foremost, the longest-lasting one, is the spending cap. Back when the state income tax was adopted in the early 1990s, shortly thereafter there was a constitutional amendment proposed to the citizens of Connecticut to put a spending cap into place as a hedge on this new revenue stream that the state had established.

The electorate approved, on a two-to-one margin, the spending cap to restrict how much spending can actually be done with these new revenue sources. However, there was a requirement that the legislature [00:07:00] approve what the actual cap calculations would be.

From about 1993 until 2017, there was what's known as a statutory constitutional cap because a formula was established. However, it did not meet the three-fifths threshold necessary to be adopted as a constitutional amendment, so for years the cap was avoided.

It was the legislature under its authority that had the ability to say “notwithstanding,” as the language is commonly referred to, that existing cap and spend above and beyond that. And this was done in the mid-2000s. This was done in the late 2000s, in 2009 under Governor Rell, and then again in the early 2010s under the Malloy administration.

So the spending cap limits that annual growth [00:08:00] in state spending by restricting the legislature's authority to make those appropriations. And what happened in 2017 as part of the adoption of the fiscal guardrails was a calculation of what that spending cap should be. And because the guardrails were passed in such a large bipartisan manner, it met that three-fifths threshold.

So the constitutional spending cap was finally adopted and put into place in 2017.

Alex Knopp: Can I make a quick comment about that? I was a member of the legislature in 1991. I reluctantly voted for the income tax; with Governor Walker having vetoed everything else and the budget being four months overdue, there was probably no alternative and it made sense.

When the so-called statutory spending cap was put into place, it excluded [00:09:00] from the spending cap appropriations for aid to what were called distressed municipalities. So those were the thirty-five or forty biggest cities, and that meant that things like the education aid and others were not included in what was capped.

That was the case from 2001 until 2017. In 2017, it was changed, and for the first time, aid to municipalities was capped like every other kind of appropriation. This was a major change. My contention is—and I'm interested in what Chris has to say—were the legislators who adopted the guardrails aware of the impact the change would have on property tax relief?

I was no longer in the legislature after 2001. So did the legislators who adopted the guardrails, were they aware [00:10:00] of the impact that the change in the spending cap definitions would have on property tax relief? Because they have been major. It's my contention, reading the transcripts of the debate that occurred in 2017 and 2018, no one ever mentioned that the spending cap definitions had changed so that after the guardrails were in effect, aid to municipalities was now strictly limited, whereas before they were not.

So for example, if one of your recommendations as an assembly is to increase education aid through ECS or some other method, that used to be something that was generally exempted from the cap. Now it's included under the cap. To me, when you take a look at why hasn't the foundation amount for ECS, as the school finance committee project talked to you about last week, [00:11:00] why has that increased since 2013?

Well, in part because now it's under the cap. So I'm curious to ask Chris, were you guys aware in a significant way of the change that putting aid to municipalities under the cap would have on property tax relief?

Chris Davis: The conversation about whether aid to distressed municipalities should be included under the spending cap was considered significantly.

There was in the summer of 2016, I believe it was, a spending cap commission, a bipartisan group that looked at the definition of the spending cap, and how it should be calculated, how it goes into place, including what kinds of factors should be given to how things are calculated within it.

There was a lot of discussion and multiple [00:12:00] panels about the impact. As Alex noted, the previous statutory cap exempt aid for about 35 or 40 municipalities from the cap, but all other aid was included. By including those towns under the cap, it leveled the playing field for all other towns as well. That was some of the conversation had at that time.

Alex Knopp: Noted. But that commission did not make a recommendation to include it.

Chris Davis: No, they did not make a recommendation either way, but it was considered, during that time, right?

And so as Alex mentioned, the previous statutory cap included the spending for distressed municipalities. So as he mentioned, it's about 35, I think there's not necessarily a cap on, I don't believe. But it was about 35 or 40 municipalities. Their aid was included as exempt from the cap, but all other aid was included under the cap.

So those specific municipalities' aid was not capped, but every other town's was capped essentially under the general spending cap measures. So by including those towns [00:13:00] under the cap, it leveled the playing field with for all the other towns as well. That was some of the conversation that was had at that time about why pull that back in.

Additionally, it does put those limits on how much money can be expended. If you exempt significant portions of state spending, which as Alex mentioned, if you add up all of the municipal aid to those municipalities, it was a sizable amount. Then it really is that staying within the confines or the general belief of what the spending cap should be, or if you continue to have those exemptions, would they actually be circumventing what that spending cap is?

Alex, if I could, I'll mention other things exempted from the cap so people are aware: payment for principal or interest on bonds, transfers to and from the budget reserve fund, [00:14:00] expenditure of federal funds, and payments to implement federal mandates or court orders.

So say there's an issue with revenue and we do not meet what we need, the money that gets transferred from the budget reserve fund to pay those down, that's exempted. Expenditure of federal funds granted to state or state agencies, payments

to implement federal mandates. So the federal government comes in and says we have to do something or pay for some sort of program.

Same thing with a court order. For that first fiscal year, that spending is not included under the cap calculation. And expenditures in federal programs in that state that had in place prior to 2017 that received matching funds from the federal government then weren't included. And then there's actually an interesting, and it gets really complicated, so I don't want to spend too much time on here, but they did exempt some of the pension payment, [00:15:00] for only a certain number of years from 2018 to 2026 from being under that cap.

And then moving forward, those payments would be included into it. So overall, the spending cap has an allowable growth factor, so it's not just a static number. The spending cap is adjusted each year by one of two factors: either the five-year compound growth in personal income that's calculated based off of analysis from the federal data, or a 12-month increase in inflation in that calculation.

So over the last nine years, it has gone back and forth depending on which factor is higher. In some years it's using that five-year rolling average of personal income in the calculation there, and then in other years they've used the inflation [00:16:00] number. What's interesting and important to look at, too, is what is that inflation number calculated on.

It's based off of the consumer price index for all urban consumers, and it actually exempts food and energy costs. So it's actually, you could argue, a lower inflation number because it removes some of the two fastest drivers of inflation at least since COVID, which are food and energy costs.

We have seen significant growth in state spending since the adoption of the constitutional spending cap. On average, it is about a 3.5% annual increase over that nine-year period. Just last year, in 2026, you had a 5.1% allowable [00:17:00] spending growth increase.

It is important to recognize, in my opinion, that, yes, there is a cap in place, however, that cap is allowed to change each year and in these particular cases go up as either personal income goes up or inflation goes up. And that calculation is, and it's a similar one that's used for the volatility cap, which we'll talk about in a moment, that is a proxy for affordability.

And that was-

Alex Knopp: Chris, can I make a couple comments and-

Chris Davis: Sure ...

Alex Knopp: what you've just said? First of all, I'm not going to disagree with any of Chris's technical explanations of these. I think he's very well-informed, and I don't disagree. And second, I voted for the spending cap. And as I said, because I thought that was a fair trade-off for the income tax, at the time I voted for it, my understanding was that we would [00:18:00] exempt aid to municipalities.

So I was worried about the impact on property taxes and felt that we could accommodate that. Unfortunately, it didn't turn out that way. The last thing I'll say is that the way I analyze these problems—and I hope the assembly will consider this—is what I call the "one wallet theory." If you decrease state aid and increase local property taxes to make up for it, are you really saving money for taxpayers, or are you just shifting the burden from the state budget to the local budget?

So I think you have to look at the state and local budgets in tandem, because all of us use one wallet to pay our taxes, and we may, under the state spending cap, [00:19:00] because we include aid to municipalities, hold it for three and a half or 5%. My taxes in Norwalk this year went up 10%, even though local spending went up only 5%, because of the post-pandemic shifts in housing values and real estate declines.

So the spending cap is important, but it's not a tablet that Moses brought down. It's something that legislators enact. And as Chris said, they exempted interest on bonded indebtedness. Well, what does that mean? So if legislators can't pass an appropriation because of the cap, they can pass more bonding.

And so you're going to have legislators wanting to bond their playgrounds and their local projects because the interest on that debt is exempt from the spending cap. So you have to look carefully at

Chris Davis: the- Well, to that point though, Alex, there is, for the calculation of the

Alex Knopp: cap- [00:20:00] Right.

Yeah, I'm sorry, it

Chris Davis: does take into account if that is shifted from an appropriation to bonding or the other way around, which did happen occasionally, especially with town road

Alex Knopp: bond rate. Well, all I'm saying is that sometimes spending like water will run and find the clearest route down the hill.

Chris Davis: Very true.

Alex Knopp: And therefore, the determination of what comes under the cap and how affects the state budget as well. So again, I look at it as one wallet. I'm glad we have a cap. I'm not happy with what's under the cap and what's not, and I hope that the commission will consider this as part of its recommendations.

Chris Davis: Yeah, I think that's a fair thing for them to take a look at. And in this particular case, I think that one wallet example is a great one because it is truly... If you look at the numbers for Connecticut, and I know there was some discussion about corporate tax rates, some discussion about personal income tax rates, I think, to Alex's point, if you do not look at our total tax burden, which would be state [00:21:00] and local taxes put together, where Connecticut is one of the highest in the country when you combine those two, you're not really taking a fair look at what the impact is on working families here in Connecticut.

So just to touch upon what I think is oftentimes an overlooked part of the fiscal guardrails, but it is actually a very important one to prevent budget deficits, which is the revenue cap. And this was proposed as a solution to an ongoing issue that was happening in the 2010s, especially where the legislature, under its rules, adopts revenue schedules.

So the legislature says, "This is how much revenue we think we're projecting will be able to be available for the budget." In that process, they rely heavily on the Office of Fiscal Analysis and the Office of Policy and Management to help calculate those projections. They are, however, not required to [00:22:00] necessarily follow those non-partisan and partisan projections.

They can adopt what they want. And there was concerns in the 2010s that revenue numbers were intentionally being inflated in order to increase that spending. And

that kind of played out in that there was perpetual deficits in revenue in nearly all categories for a number of years in the 2010s.

So the revenue cap was put into place to calculate a bit of a buffer, a savings based off of what the legislature adopts as projected revenue and how much money can be spent each year. So it was done in a graduated process to lessen the impact on the state budget at that time. Where the first year it took effect you could only spend 99.5% of the projected revenue to where we are now, which is [00:23:00] 98.75% revenue.

So this creates a surplus on paper as soon as the budget is passed in order to protect against either cost overruns, reductions in revenue, or changes in federal policy that could have that impact immediately. So right now that cap stands at 98.75% of projected revenue. Alex, I don't know if you have any thoughts on the revenue cap?

Alex Knopp: Yeah, I think, given the unpredictability of revenue coming into the state because we rely so heavily on capital gains, for example, which often are not calculated until the end of the tax year, it makes sense. But again, there is a cost to it because if we can't increase if under the spending cap there's room to increase [00:24:00] aid to education, but under the revenue cap we can't spend that money, again, that shifts more of the burden for funding education to cities and towns and to the property tax.

So again, let's look at all these things in context. But generally I think the revenue cap is the least harmful of all of the guardrails.

Chris Davis: And then there is a bonding cap. Connecticut faced some of the highest bonded indebtedness and still continues to face some of the highest bonded indebtedness per capita in the country.

And in the 2010s especially, there was a significant increase in bonding during that time period, in part, to Alex's point earlier, to offset some of the spending from the general fund that was being impacted by these revenue declines during that time period. So you saw a huge ramp-up of bonded or [00:25:00] indebtedness for the state.

So what the bonding caps do is they put a limit on how much can be bonded each year, again, based off of certain calculations from where you were the year before,

and puts those restrictions into place. This is separate from what you may have heard about the bond diet by Governor Lamont.

We have not hit or surpassed that bond cap since it's been put into place, in part because Governor Lamont has very much restricted the use of indebtedness and oftentimes actually cancels the state bond commission meetings to authorize that type of spending. So this cap is one that I would argue, and maybe Alex has a different opinion, hasn't really been tested very much because we have not actually pushed the limits on that one compared to some of the other ones over the years.

So there is still, [00:26:00] room under this debt cap, these debt limits, these bond caps, to be able to do some additional bonding, which in this case really impacts school construction funding. And the major municipal aid that comes with that in the realm of hundreds of millions of dollars per year that the state provides to towns and cities to offset the costs of school construction.

That is largely done through state bonding. So is town aid road, which is a big part of the spending that's allowed to help cover the costs of local road maintenance. And I think you've probably heard some presentations about the car tax and how the money from that is supposedly supposed to be helping offset those costs, but the state also makes contributions. And there's two other major municipal aid programs that come out of [00:27:00] bonding: the Urban Act, which is hundreds of millions of dollars a year in additional spending that is allowed to municipalities, as well as STEAP grants, which are Small Town Economic Assistance Program grants, that help the smaller towns be able to do economic development programs, whether that's sewer improvements, putting in sidewalks, facade improvements on Main Street, or to Alex's point before, the gazebo in the town green or the Little League field at the town park.

So all of those do fall under the bond cap, but in the last several years at least, we have not come close to hitting that cap.

Alex Knopp: Yeah. That's a good explanation, Chris.

Chris Davis: And then I really think a lot of the conversation although the spending cap is a very, very important one, especially when it comes to [00:28:00] municipal aid.

But I think a lot of the conversation that you hear around the fiscal guardrails is really around what's known as the volatility cap. And this is a mechanism that's designed to divert a portion of state tax revenue that exceeds a certain threshold into the budget reserve fund. And the budget reserve fund is what you oftentimes hear called the rainy day fund here in the state.

To give you a little bit of perspective, the rainy day fund was drained in the late 2000s during the Great Recession. A little bit was put back into it, and then it was drained again in the mid-2015s when there was significant budget revenue losses. So the state was operating with very little in its savings account to offset any kind of major reductions.

So what was proposed back in actually 2015, [00:29:00] by Representative Candelora and then picked up on by State Comptroller Kevin Lembo at the time, was an idea where you would capture this volatile revenue and be able to then use that volatile revenue to help build up the state's savings account.

The volatile revenue, as Alex mentioned before, is based largely off of capital gains that are calculated as part of the income tax for individuals that have large bonuses if they're in the financial services industry or large income coming in based off of capital gains, if that's a source of their income and their estimates and finals on their income taxes.

And starting in 2018 with the passage of the pass-through entity tax level tax that's on especially small businesses, limited [00:30:00] liability companies, LLPs, businesses like that, what's known as the pass-through entities. That revenue is also calculated under the volatility cap because it's oftentimes done as a proxy for that estimated income that they previously had coming in before that tax was put into place.

So that volatility cap transfers a portion of that revenue that comes in into the rainy day fund, into that budget reserve fund. Once that budget reserve fund hits eighteen percent of the state's budget—so that would be right now about \$4.31 billion—once you hit that amount, that money then spills over, as they say, towards pension pay down, pension debt.

So the money that goes to the state employee pension [00:31:00] fund, and then the treasurer can divert some of that to also pay down the teachers' retirement fund, which many have argued is also a significant municipal aid because the state takes

on the costs of teachers' retirement costs instead of having that burden solely placed on each individual town.

So the money that spills over from the budget reserve fund helps pay down that debt.

Alex Knopp: Chris, can I make a quick comment here?

Chris Davis: Sure.

Alex Knopp: I think we're going to go to poll question number three-

Chris Davis: Mm-hmm ...

Alex Knopp: after I make a q- a couple of comments. One of them is, I think it's very important that we have a very robust rainy day fund, and that's a guard against the impact of the national economic picture on Connecticut.

As often they say that when the national economy sneezes, states get pneumonia. So we need that rainy day fund to protect against [00:32:00] uncontrolled economic impacts on our revenue system. The problem I have with the volatility cap is twofold. One is, I think a lot of the income that it relates to is it may be volatile, but it's the meat and potatoes of the Connecticut revenue stream.

You can say the price of oil in Alaska is volatile, but oil provides the vast majority of Alaska's revenue. Does that make it a volatile revenue in the way that it shouldn't be spent or considered? I think that's the problem we have here. I'd rather see a better definition, more specific and limited of what's volatile rather than the capital gains and the other unearned income that is such an important part for Connecticut.

And second, I think the legislature made a decision against, in my view, unwisely, to say payment of- Debt that was not absolutely required by an [00:33:00] actuarial determination, but essentially a prepayment of debt was more important than providing property tax relief to municipalities. And I think the judgment there was out of balance, and I think some of that revenue should've been reserved for property tax relief from the state under the one wallet theory, and not all dedicated after the rainy day fund is filled up to prepayment of debt.

Even a prepayment of debt's a good idea, but so is property tax relief, and there needed to be a better balance, and there wasn't. And that's why we have such deficits in ECS, in excess cost, in padded payments, and many of the other municipal areas. So I think Chris, we're gonna go to poll question number three that Heidi is going to put up for us.

Heidi: Gentlemen, I do have one question before we launch that. We actually have all three [00:34:00] questions in one poll, unfortunately.

Chris Davis: Oh, okay. Yeah. Yeah.

Heidi: And so if we, when we launch this, we'd have to launch all three. I just, I want to make sure we're okay with that.

Chris Davis: So we can hold off on doing that for just another moment then, just so that they get the full understanding of this concept.

So to Alex's point that this is capturing some of what he called the meat and potatoes of what revenue goes into this cap, I would argue it does actually include a lot of that. What is not included under this cap and goes directly into the general fund to be spending, which is the traditional withholding income taxes—a large proportion of people here in Connecticut have their taxes withheld each week or bi-weekly, however they get paid, and then that money is transferred to the state for spending.

That money is all available, [00:35:00] under the general fund, and in fact, that is the least volatile revenue. Over a 10-year look back, that swings maybe 5% in one direction, even during the worst of times of the Great Recession and some of the challenges that we faced in the 2010s. Additionally, the volatility cap captures a significant portion of the revenue from those volatile sources.

So you have a calculation that was made when the fiscal guardrails were adopted that said, "What is the average amount that's collected in this space?" At that time, that average was calculated as about \$3.15 billion is typically collected under that revenue as the basis. What then happens each year is a similar calculation to the other caps, where it's either the average growth of [00:36:00] personal income and it's then calculated to increase.

So since 2018, the first year that the volatility cap existed, the cap was placed at 3.15 billion. All additional revenue went to the rainy day fund and paying off the pensions from there. Today, in 2026, that cap now stands at 4.73 billion. So you saw a \$1.5 billion increase over that 10-year period of spending that's allowed under that volatility cap.

So that revenue is allowed to be spent under the spending cap in the tune of \$1.5 billion. So the cap isn't static. The cap doesn't stay at one amount and never change. In fact, the cap has changed significantly over time, and there has been significant increases in spending allowed under the current cap structure that exists today.

And what has happened in the last two [00:37:00] fiscal years is that the governor has declared an emergency and the governor has proposed and the legislature has approved adjusting the calculations on that cap to allow additional spending. So you had about \$850 million in additional spending allowed under each one of those declarations.

So now you have about a billion and a half of additional spending that's happened over the last two years by those adjustments that were made from that revenue on top of the natural growth in that volatility cap. So the legislature does have the ability and choice to do that, and they have exercised that right the last two years to be able to do that to have that additional spending put into place to help, and to Alex's point, offset some of the federal changes that have happened over the last two years.

Alex Knopp: Yeah, but only by these emergency declarations [00:38:00] and supermajorities. The legislature no longer functions by majority rule, which is the basic rule of democracy. And unfortunately, it means that the growth in the stock market since 2017 has been enormous. And the fact that the volatility cap is adjusted so modestly and only by supermajorities means that we are still contributing a vast amount of money to prepayment of future debt.

Again, a good idea in moderation, and we have been ignoring over the last 10 years, in my mind, adequate funds for property tax relief. Again, I think the balance is off under the one wallet theory. I appreciate Chris's explanation of the volatility cap. I think it's not constructed properly, and I'm looking for a better state and local [00:39:00] fiscal balance in our state finances.

Chris Davis: So to that point, the paydown of the debt that has occurred over that time period does have a positive impact on the- Agree. I absolutely

Alex Knopp: agree with you ...

Chris Davis: on the budget. When you do make those additional payments, you actually reduce what's required from actuaries, and because of that almost or a little over \$10 billion that were paid over that 10-year period towards that debt, each year going forward, the state of Connecticut can spend an additional \$857 million per year under our spending cap because of the reductions in those pension payments going forward.

I agree.

Alex Knopp: So that has a significant impact. And that's a very good thing.

Alex Knopp: But I would like those funds dedicated to property tax relief. That's what I mean by structural reform of the fiscal guardrails to include aid to [00:40:00] property tax relief and aid to municipalities that to my mind was unfairly diminished and excluded in 2017 when the guardrails were adopted, and in 2023 when they were renewed on the opening day of the session with no public hearing.

So Chris is right. It does save us appropriations for interest payments on the debt, but I would like to see those savings used to make up for what I regard as the deficit in property tax relief under the guardrails.

Chris Davis: And I don't disagree with Alex's opinion that the savings should be dedicated to important areas, one of which could very well be property tax relief.

And that is what's the interesting choice for policymakers and for you as the citizens assembly going forward, is where should those priorities be placed? I would argue that the state has spent more money than it ever has before, has generated more revenue than it ever has before, and is now [00:41:00] saving more money than it ever has before through these fiscal guardrails.

And that by having that in place we are actually able to better preserve overall municipal aid by having these savings mechanisms in place. And I

Alex Knopp: would just say that property tax payments are higher than ever before. We're in a crisis of property tax caused by the phenomenal appreciation in home values after the pandemic, and in the unprecedented decline in the values of commercial real estate after the pandemic, which has resulted in an unprecedented shift in the property tax burden from commercial property to residential property without a c- comparable increase in spending by municipalities.

This is, I think, a severe problem that we have to address.

Chris Davis: I agree. And what we did see during those 2010s when [00:42:00] these caps were not in place was either freezing or reductions in municipal aid year after year. And that goes to the core of Alex's earlier point about ECS funding, special education funding, pilot funding, none of those things hitting their statutory requirements and what those payments were supposed to be, in part because policymakers chose to reduce those or hold them steady during that time period of fiscal uncertainty.

What you have seen- Chris is

Alex Knopp: right, but they haven't, they haven't reached those numbers since 2017 either. So the problem persists

Chris Davis: Well, in fact, the ECS formula does increase each year under a calculation that was put into place at that

Alex Knopp: time Right, but the foundation amount hasn't increased since 2013, which is ridiculous.

Chris Davis: And I think to your point the inflation adjustment, if you will, real money perhaps towns are getting less than they did at that time, I think is, is your argument in that case. And [00:43:00] I think it's a fair one and one for this group to, to certainly look at.

Alex Knopp: Good.

Chris Davis: But let's get to the poll questions.

Chris Davis: Yeah

Alex Knopp: Heidi, you gonna explain?

Heidi: Yes, great. Thank you, gentlemen. So we have three poll questions that we will launch in just a moment that really link back to what Chris and Alex have just been discussing. So we'll ask you to read through those questions, go ahead and submit your response, and then we'll share the response with all and have Chris and Alex respond to that.

So if we could go ahead and open those poll questions. Krista, thank you.

Krista: Nice. And just as a if it's helpful to know, we can see that [00:44:00] folks responded. We just can't see who has responded what, so it is an anonymous poll.

Alex Knopp: I assume Chris and I can't vote, right?

Chris Davis: I was gonna say, it gave us a chance to skew the numbers here. It popped up as an option. I thought about it

Alex Knopp: I saw Chris's brain churning there.

I wanted to make sure we-[00:45:00]

Heidi: Looks like we've got about 25 of our citizens. Oh no, it's 30. It's rapidly changing here.

Alex Knopp: Heidi,

Heidi: I'd say we're about probably a third of the way through...

Alex Knopp: Heidi, I'd say yes to Q&A afterwards. That'd be, I'd enjoy that.

Heidi: Okay, great. So after our poll, we will have probably about five or so minutes for some Q&A.

And we'll open up for, for that in a moment. Thank you.[00:46:00]

So we have about 71 respondents in for our citizen poll. Maybe we'll give it another moment or so. In the meantime, we are opening the chat. So if you have a

question that [00:47:00] you would like to pose to Chris or Alex, go ahead and put that in the chat. And I've just been told we have...

Oh, I think we've got a lot of responses here. So why don't we... Oh, I see, we have nine. We'll give it another moment or so, and then we'll go ahead and do that. Why don't we, while we give it another moment, maybe we'll ask if we can respond to a couple of the questions that are here.

So the first question we have here is, "Can you define property tax relief?" That's from [Citizens' Assembly Member] who is asking this question.

Alex Knopp: Well, sure. I would define it in two ways. One is the state delegates a lot of functions to municipalities. For example, K through 12 education, or state property municipalities that impedes this [00:48:00] municipality collecting property tax on it.

I include as property tax relief state funding for different governmental functions or conditions that reduce the municipal budget burden and result in lower property taxes. I regard property tax reform as structural changes in the Connecticut tax system that provide relief for homeowners. For example, how often property is assessed, whether or not there's a homestead exemption as exists in many other states, how often taxes have to be assessed.

That's how I define those two. And generally, I try to talk about them together, property tax reform and relief, because some things can be characterized either way.

Chris Davis: Yeah, and it's also important to note here in [00:49:00] Connecticut at least, unlike some other states, that relief is not directly tied to property tax reductions.

In almost all cases, it's additional aid to the town, which you then would hope that their local leaders would then reduce the property taxes because of that additional aid. I think you heard some presentations from some other states that actually have caps and requirements on reductions in taxes with that additional aid, but Connecticut currently at least does not have that in place.

Alex Knopp: I could just say as a former mayor- Thank you ... former mayor, that if you get state aid increased for, for example, ECS or special education, a pilot, that will show up in your budget as a replacement for local property tax revenue.

Heidi: Thank you, gentlemen. I believe we're good with the poll, so let's go ahead and close that and we can share the results, and then Chris and Alex, as you see those, you know, add any commentary.

And everyone else should be [00:50:00] able to see those results of your fellow citizens.

Chris Davis: So I think the response to these are not surprising, and it's actually something that the legislature itself is kind of struggling with about what, if any, modifications should be made to it. As Alex mentioned earlier, back in 2023, the legislature did extend the current fiscal guardrails at that time for five more years.

So they come up for expiration in 2028. So in January when the new legislature meets, they will be looking to adopt a new two-year budget for the state, which will include that time period. So the conversation, the decision about what to do with these fiscal guardrails, should some modifications take place, should some changes in what's calculated under the caps take place, is one that is very much going to be [00:51:00] considered by the legislature in this next legislative session.

Alex Knopp: Yeah, I mean, let me just add that when the legislature extended them for five years in 2023, they did so on the opening day of the session. There was no public hearing on what the impact of the first five years of the guardrail had been on things like property taxes, and the vote was unanimous. So hopefully, if they start considering how to extend or modify the guardrail starting in 2028 or '9, that there will be some extensive public hearings, and opinions and comments like are coming through on the poll questions can be expressed, and legislators will take those into account.

Chris Davis: Now, Heidi, I know we're kind of bumping up against time here, but I didn't know if there was another question or, that you wanted to, us to address

Heidi: Yeah. So we have a lot of questions here in the chat, and I [00:52:00] think we can get to probably hopefully a couple of them. Those that we don't get to, we are capturing and will work with Chris and Alex to get a response and share afterwards.

But the next question that was posed is: How is the state preparing for substantial, a substantial correction to the stock market? And that comes from David.

Chris Davis: Yeah. I would argue that these fiscal guardrails have never been tested. As Alex mentioned earlier, the stock market has been on a perpetual increase since 2017, essentially, with only minor dips back and forth.

And what you actually saw in that 2022, 2023 time period were wild swings in this volatile revenue to the tune of over a billion dollars in each direction during that time period. And you saw the guardrails, in my opinion, work because they had that cap on that volatile revenue. We had the budget based off of revenue that [00:53:00] was able to be accepted, and only minor deficits that were then backfilled through various different ways to offset those deficits at that time.

But they have not been significantly challenged. In fact, the Office of Policy and Management does stress tests under state statute. Now they must do stress tests, and the first ones were put out last year, and it showed that Connecticut would withstand a moderate recession under our current budget reserve fund in the current system.

However, it would face deficit if there was a catastrophic recession like we had in 2008.

Alex Knopp: Yeah, that's not an inappropriate concern. My problem is what is done with the excess volatility income and its dedication to prepayment of future debt rather than a more balanced usage for alleviating [00:54:00] the current crisis, not just high, but crisis in local property taxes caused by the dual factors of appreciation of home values and the depreciation of commercial real estate post-pandemic.

Heidi: Great. Thank you. I think we've got time for one more question here, but I will say in the chat I know there's a lot of asks for the white paper that you referenced earlier, Alex. That's the paper on, reexamining the budget guardrails and rebalance Connecticut state local fiscal system. I know, our friend Sean here put it in the chat for us, put a link.

Just wanted everyone to know we'll also share that afterwards. And again, we are not going to get to all the questions, but we will capture them and get responses. So one more question before we end our discussion here and transition to a break. And

that is [00:55:00] here: Is there any effect to or by the 43 plus mandates by the caps?

Chris Davis: Are they referencing the unfunded mandates on towns with the 43 mandates?

I'm

Heidi: just curious I will ask, this is from [Citizens' Assembly Member] and so if we need clarity, I'll ask for Brian to come off mute and just provide that

clarity

Brian?

Let's see. Why don't we do this? I'll reach out to Brian here via chat and see if we can get some clarity on that, but I want to also try to keep us on time as well. And so we really are at time for this session. Chris, [00:56:00] Alex, thank you so much for the robust conversation between the two of you.

I know that there's a lot of interest and a lot of stuff here in the chat about that, so thank you. Very insightful. And one other thing before we transition to our break: I mentioned the white paper already. There has been a question also about slides and if citizens will get slides.

What I will tell you is our understanding is that there really actually are no expert slides today. If we get surprised, because sometimes that happens, then we will go ahead and share those after the fact. So just wanted to answer that question. And with that said, let's go ahead and move and transition to a break.

We'll take about a 10-minute break, so it is 36 minutes after the hour. So we will reconvene at [00:57:00] 46 minutes after the hour. I will put a timer up, and feel free to turn off your camera, make sure you're on mute, and we will see you in

10 minutes.

Alex Knopp: Hey, Heidi? Heidi?

Heidi: Yes.

Alex Knopp: Sorry, I just wanted to thank Chris for a very civil discussion, and thank the assembly for inviting us to make a presentation.

Chris Davis: Yes, I very much echo that as well and look forward to your recommendations, as it is a major issue that they're gonna be facing right now and into the future, so thank you.

Heidi: Great. Thank you, gentlemen. Thank you. All right. We'll see everyone in 10 minutes

Alex Knopp: Thank you, Chris.

Chris Davis: Thank you, Alex. And hopefully

Alex Knopp: We- Hey, Heidi, do we, can we get a copy of the poll questions and the results?

Heidi: Yes, I believe we can. I will consult with the team.

Alex Knopp: At, at your convenience. At your [00:58:00] convenience, I believe. Yeah. It's, I know you have a lot going on with these logistical- You

Heidi: got it.

Yes, we'll follow up.

Chris Davis: Thank you. Should we send any of the additional literature on this topic, or...?

Heidi: I would say if you want to send that to my email address, why don't you go ahead and send that to me, I'll make sure that the concierge team has that and can share.

They'll then be sharing out in aggregate things from today to the citizens.

Chris Davis: Great. As Alex mentioned, he's got a few white papers. We have a few from our foundation as well that we can send over that take a look at the topic.

Alex Knopp: Perfect. Make sure you send them to me too, Chris.

Chris Davis: Yes, sure.

Alex Knopp: You got mine. Before the debate. Before the debate you had mine. I got yours after the debate.

Chris Davis: Ours have been out for years, Alex. Come on. Similar to yours.